

Khazna

Investment Recommendation

● CAIRO



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Challenge 1: Back-of-the-Envelope Startup Analysis

Company Overview

Who are they?

Khazna is an Egyptian fintech founded in 2020 that provides financial services, including earned wage access (EWA), digital wallets, microcredit, and BNPL, to Egypt's 35M+ underbanked, cash-dependent workforce.

Operating through a B2B2C model, Khazna partners with employers and distribution networks to reach blue-collar workers who have no credit history, no smartphone-native bank account, and no access to formal lending.

Funding

\$63M

Total Khazna Funding Raised

5

*Raised 5 rounds from
Institutions Investors*

\$15M

2024

\$16M

Last Two round Sizes

2025

Core Product

■ Earned Wage Access

Workers draw up to 50% of their earned salary before payday: zero-interest, repaid at payroll.

■ Digital Wallet

Mobile wallet for payments, remittances, bill pay. No bank account required.

■ Micro-Credit & BNPL

Payroll-linked credit lines and BNPL for consumer purchases, using employer data as collateral.

■ B2B Employer Suite

HR/payroll integration API allowing employers to offer Khazna as a workplace benefit.

Market Background

Investment Thesis

Egypt, Africa's top fintech funding hub, leaves 18M adults unbanked/underbanked despite 75% inclusion gains, fueling massive demand for Khazna's workforce-first super app (500K users, \$63M raised, digital bank license pending) to capture structural tailwinds in payroll lending, BNPL, and deposits.

Core Gap

Unbanked & Underserved
Workers

35M+

Adults without full
banking access in Egypt

- 50% of adults lacked bank accounts before the recent CBE push
- Gig & informal-sector workers excluded from payroll credit

Macro Catalyst

EGP devaluation creates urgency

EGP -70%

Since Jan 2022

+36.5%

Peak inflation Jul 2023

\$46B

Egypt SME credit gap

Currency collapse is driving massive demand for hard-currency savings and inflation-proof payroll products, Khazna's core value proposition.

Why now?

Regulatory Window

CBE enabling digital fintech

2019

E-Payment Law mandate

20+

Sandbox companies tested

2023

Open Banking enacted

Egypt's CBE fintech strategy 2022-26 mandates digital wage payments and has created a sandbox pathway that Khazna is actively navigating.

GCC Expansion

Egypt–Gulf corridor untapped

3M

Egyptians in KSA alone

\$22.7B

Remittance inflows 2024

5%+

Of Egypt GDP in remittances

As Khazna earns trust in Egyptian payroll data, expansion into GCC for migrant worker financial services is a natural adjacency.

Business Model

Earned Wage Access Fee

1-2% transaction fee per EWA draw. Zero-interest to employee; employer absorbs a portion. High-frequency, recurring revenue.

Credit Margin (Murabaha)

Shariah-compliant micro-credit at 2- 5% annual markup. Payroll-linked repayment = <5% default rates claimed.

Wallet & Payment Take Rate

2-2.5% take rate on bill payments, P2P transfers, and merchant collections via digital wallet.

B2B SaaS Employer Fees

Monthly platform fee per employer for HR/payroll integration, dashboard, and compliance tooling.

Traction

4M+

Registered users on platform

500K+

Active monthly users

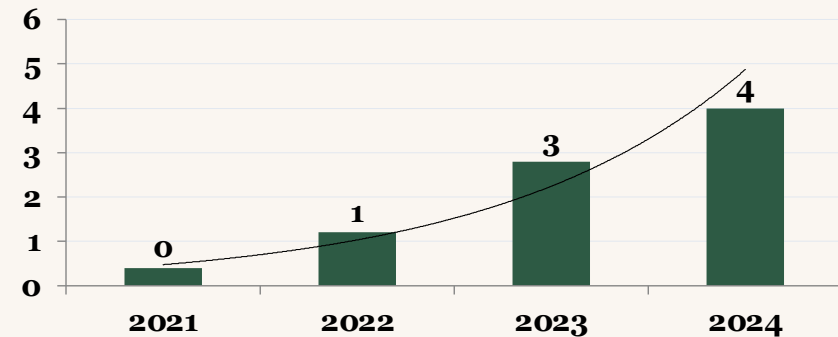
150+

Enterprise employer partners

\$63M+

Total capital raised (2021–24)

Registered users growth (millions)



Market Analysis

Bottom-Up Market Sizing

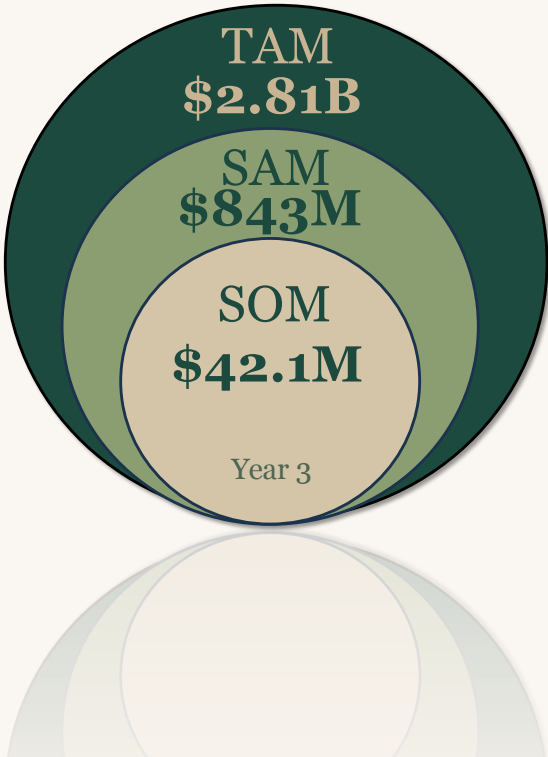
Market Sizing Metric	Classification	Estimated Value	Methodological Rationale and Data Sourcing
Target Customer Base	Unbanked/Underbanked Population	35.0+ Million Users	While roughly 50% of Egyptians own a smartphone, only one in three enjoys full access to financial services. Khazna targets the remaining demographic, leaving an addressable base of roughly 35 million individuals.
Average Revenue Per User	Blended Annual Revenue per User	USD 21 - USD 30	Targeting low-income workers limits aggressive monetization. We benchmark against leading African digital super-apps like M-Pesa, which operate at an approximate USD 21 ARPU. A blended ARPU of USD 30 is realistic once higher-earning KSA users are integrated.
Serviceable Addressable Market	Net Revenue Potential in Egypt	USD 735.0 Million	Multiplying the 35 million target demographic by a highly conservative USD 21 baseline ARPU yields the total net revenue potential in the domestic market alone.
Serviceable Obtainable Market	Projected Year 3 Revenue	USD 45.0 Million	Assuming Khazna successfully scales to 1.5 million highly active users across Egypt and Saudi Arabia over the next 36 months, at a blended ARPU of USD 30.

Sources: Pitchbook, WorldBank, Vodafone, IBIS World

Market Analysis

Market Sizing Metric	Classification	Estimated Market Value	Methodological Rationale and Data Sourcing
TAM	Egypt Alternative Lending Market (2026)	USD 2.81 Billion	The total alternative lending market in Egypt is estimated to reach USD 2.81 billion in 2026, expanding at a robust 14.1% CAGR.
SAM	Consumer & Micro-Credit Segment	USD 843.0 Million	The TAM includes large-scale B2B factoring, heavy SME lending, and real estate crowdfunding. We estimate the specific consumer micro-credit and EWA segment constitutes a realistic 30% of the total alternative lending TAM.
SOM	Target 3-Year Capture	USD 42.1 Million	Assuming Khazna captures a highly grounded, conservative 5% of the consumer SAM within the next 36 months, accounting for intense local competition and macroeconomic friction.

Top Down-Market Sizing



Sources: Pitchbook, WorldBank, Vodafone, ResearchandMarkets, Yahoo Finance, Business Wire, KenResearch, Mordorintelligence,

Scenario Analysis

Assumption	Base Case	Bear Case	Bull Case
EWA take-up rate	12%	5%	25%
Default rate on micro-credit	5%	12%	2%
Employer churn per year	10%	20%	5%
Blended take rate	3.0%	1.8%	4.2%
User growth (YoY)	30%	15%	50%
Digital bank licence (mid-2026)	Granted	Delayed 18m	Early 2026

Macro & Structural Risks

- EGP Devaluation**
EGP -70% since 2022. Inflation erodes real unit economics. But also accelerates demand for inflation-proof products.
- CBE Digital Bank Licence**
Without a deposit licence, cost of funds remains elevated vs. bank-licensed peers. Licence expected mid-2026.
- Informal Economy Risk**
60%+ of target users lack verifiable employment contracts. AML/KYC compliance costs are higher than those of formal lending.
- GCC Expansion Regulatory**
Saudi and UAE wage-protection frameworks differ materially from those in Egypt. Cross-border EWA faces 18-24-month licensing cycles.

Sources: CBE, Egypt Data Protection Laws, Saudi WPS

Valuation: VC Method

Comparable Company	Primary Geography	Core Product	EV/Revenue Multiple (Estimate)
Tabby	UAE / KSA	BNPL & Payments	14.1x
Insider	MENA / Global	B2B SaaS Marketing	10.0x
Careem	UAE	Mobility & Super App	7.8x
Moove	MENA / Africa	Vehicle Financing	5.0x
Kitopi	UAE	Cloud Kitchens	4.8x
MNT-Halan	Egypt	Fintech & Micro-lending	3.3x
Tamara	KSA	BNPL	3.3x
Median			5.0x

Step	Bear Case	Base Case	Bull Case
Projected Year 5 Revenue	USD 25.0 Million	USD 60.0 Million	USD 110.0 Million
Exit Multiple (Median EV/Revenue)	5.0x	5.0x	5.0x
Terminal Value (2030 Exit)	USD 125.0 Million	USD 300.0 Million	USD 550.0 Million
Target ROI Hurdle	5.0x	5.0x	5.0x
Implied Post-Money Valuation	USD 25.0 Million	USD 60.0 Million	USD 110.0 Million
Less: Recent Capital Raised	USD 16.0 Million	USD 16.0 Million	USD 16.0 Million
Implied Pre-Money Valuation	USD 9.0 Million	USD 44.0 Million	USD 94.0 Million

The pre-money valuation of Khazna is highly elastic and dependent on the assumptions taken.

- 1. **In the Bear Case**, where the digital banking license is delayed 18 months, default rates spike to 12%, and the blended take rate compresses to a mere 1.8%, the projected revenue collapses.
- 2. **Bull Case**, an early 2026 banking license drastically lowers the cost of capital, expanding the blended take rate to 4.2% while user growth surges by 50% YoY. This higher efficiency justifies an aggressive Pre-Money valuation of USD 94.0 million.
- 3. **Base Case** target of USD 44.0 Million,

Sources: Techcrunch, UK Investing, The National News, Pitchbook

Team



Team Assessment

Metric	Evaluation Criteria	Assessment Basis (Khazna)	Score (1–5)
Skills	Relevant fintech, credit, tech, ops, and fundraising capabilities on the leadership team.	CEO ex-WorldRemit/IB/strategy, CTO from Intel/IBM/Valeo, COO/CRO ex-CIB credit risk, CFO and co-founder from Arqaam IB, CSO ex-McKinsey/Amazon/OLX, plus experienced fintech investor on the board (Quona's Monica Brand Engel).	5
Cohesion	History of working together, role clarity, and low senior churn.	Core founders have worked together since 2019–2020; senior hires (CFO, COO/CRO, CSO) show multi-year tenure; addition of a KSA CEO formalizes geographic split rather than indicating conflict.	4
Integrity & Trustworthiness	Reputable prior employers, credible investors, positive public recognition, no visible red flags.	Leadership comes from institutions like J.P. Morgan, CIB, McKinsey, Amazon, Intel, and IBM. Investors include impact/fintech specialists such as Quona and Accion; co-founder Fatma El Shenawy is a Forbes-listed founder with a financial-inclusion positioning and no public controversies.	4
Execution Risk	Ability to scale product, credit book, and geography with current bench.	Team has scaled fintech and marketplaces before (WorldRemit, Uber, OLX, Amazon); Khazna has already grown to hundreds of thousands of users and multiple products while preparing for a digital banking license and KSA entry, though still concentrated in a relatively small senior group.	4
Motivation & Commitment	Evidence of mission-driven behavior and long-term focus on the company.	Founders left strong careers to build Khazna around financial inclusion for underbanked workers and have stayed several years; public interviews and awards highlight inclusion as core mission; continuing to raise capital and expand rather than seeking quick exit.	4
Complementarity	Mix of visionary and execution profiles across functions.	Clear spread across CEO/strategy, credit risk, tech, finance, and commercial strategy; board adds investor and governance expertise; backgrounds span engineering, actuarial science, and top business schools, giving good functional and cognitive diversity.	5
Experience	Depth of sector and operating experience at relevant scale.	Leadership collectively has 50+ years in finance, corporate strategy, and technology; several have already operated regional or multi-country businesses; Khazna is now a recognized regional fintech with large user base and substantial funding.	5

Risk Matrix

Risk	Description	Current	Mitigation	Future
Currency / FX	EGP -70% since 2022. Real unit economics compressed; capital flows volatile.	Medium	USD-linked products; natural hedge through user demand for hard-currency savings.	High if CBE loosens FX controls further
Regulatory	No deposit licence limits cost of funds. CBE sandbox places ongoing compliance obligations.	Low	Active CBE relationship; sandbox participation; precedent of 20+ tested companies.	Medium (GCC expansion)
Credit Default	Micro-credit to informal workers; bureau data thin; collection infrastructure nascent.	Medium	Payroll deduction model caps default. Claimed <5% NPL rate.	High if informal economy contracts
Market Adoption	Blue-collar EWA adoption requires employer education; informal workers resist digital.	Medium	B2B employer channel reduces adoption friction. Incentive-based onboarding.	Medium
Scalability	GCC regulatory fragmentation; infra / talent gaps; capital-intensive liquidity pools.	Low (Egypt-focused)	Series B to fund tech & compliance infra; modular API design.	Very High (cross-border)
Tech / Data	Biometric KYC, payroll API integrations; cyber risk; data localization obligations.	Low	Bank-grade encryption; CBE data residency compliance.	Medium (attack surface growth)

Investment Recommendation

Current Recommendation: **Don't Invest**

Khazna's attempt to build a financial super app (EWA + wallet + microcredit + BNPL + employer SaaS) dilutes focus from its core payroll lending strength, exposing it to superior specialists like Valu (Egypt's licensed BNPL leader with 6K+ merchants and Jordan expansion) and Sympl (checkout-focused EWA/BNPL emerging player). No MENA fintech has successfully scaled BNPL/EWA beyond 1-2 markets. Tamara and Tabby remain GCC-siloed despite billions in funding, while Valu took 8 years to expand into a single adjacency, facing Saudi WPS mandates, 18- to 24-month SAMA licensing, and STC Pay/Geidea dominance. Khazna's 40-50% KSA revenue target ignores cross-border failure modes (FX hedging, data residency, liquidity pools) and capital-intensive traps (25%+ pre-license cost of funds, perpetual dilution across 5 products).

Key Questions Left

1.Regulatory Timelines & Contingencies: What is the precise status of the CBE digital banking license application, and what is the exact cash runway to sustain operations should the mid-2026 approval target be severely delayed?

2.KSA Market Penetration Tactics: How will Khazna navigate the fragmented regulatory landscape and secure the necessary Saudi Central Bank (SAMA) approvals to operate effectively against entrenched local players such as Tamara?

3.Cross-Border Remittances: Does Khazna intend to capture the highly lucrative Egypt-Gulf remittance corridor utilizing their existing user base, and if so, what are the licensing requirements?

Three Conditions must change before recommending to watch or invest

1.CBE license granted (mid-2026): Reduces cost of funds 25% to 15-18%, unlocking lower EBITDA margin

2.Saudi employer MOU signed: Proves WPS integration feasible, validates 40-50% KSA revenue assumption

3.Valu competitive response disclosed: How will Khazna defend BNPL market share vs. licensed incumbent?

Thank You

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